STRATEGIC REPOSITIONING AND ACQUISITION ECONOMICS

Clarte MD Market Competitive Analysis & Ad-Facing Optimization

Prepared for Clarte MD Executive Management

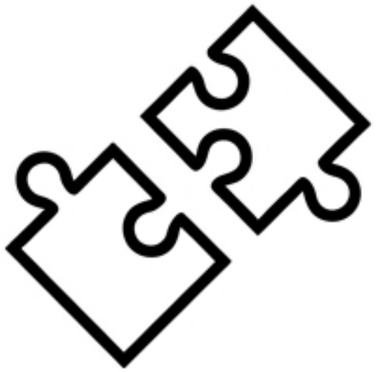
The Strategic Thesis

The Structural Market Gap

Clarte operates in a uniquely advantageous whitespace—bridging the gap between low-cost local pharmacy brands and highly inaccessible imported skincare giants.

The Acquisition Hurdle

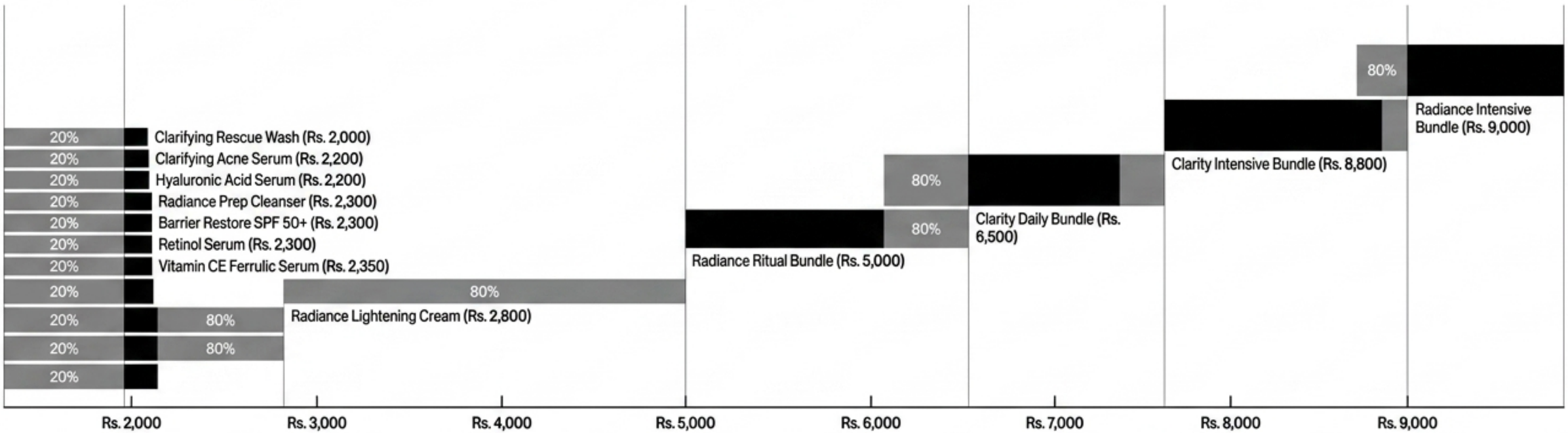
Current Search Ad CPCs render single-product, full-price sales highly inefficient. Pushing standalone items at current retail prices destroys first-order unit economics.



The Pricing Pivot

Transitioning acquisition focus to high-value bundles with an 8-12% built-in structural savings, paired with heavily optimized introductory pricing to drive initial trial volume.

The Current Portfolio Architecture Sets a High Barrier to Trial



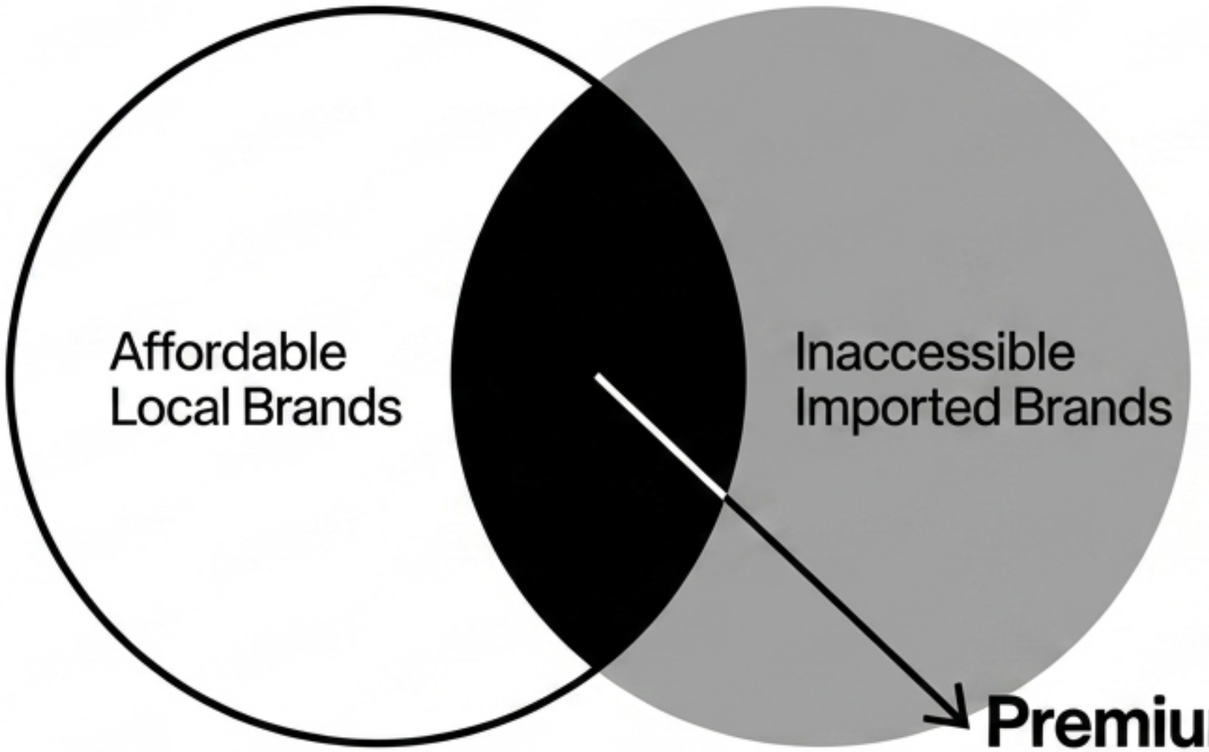
The current architecture establishes strong premium brand equity but requires high-friction financial commitment from first-time buyers encountering the brand via Search.

Competitive Pricing Matrix for Lahore and Faisalabad Search Buyers

Local Mass/Clinical (Rs. 750 - 2,395)	Clarte MD (Current)	Imported Premium (Rs. 4,000 - 9,800)
AccuFix, Simplist, Jenpharm (Rs. 950-1,700)	Clarifying Rescue Wash (Rs. 2,000)	CeraVe, The Ordinary, COSRX
Purist, Simplist, AccuFix, Conatural (Rs. 1,199-2,395)	Hyaluronic, Acne, Retinol, Vit CE (Rs. 2,200-2,350)	CeraVe, The Ordinary, COSRX
Vince, Jenpharm Spectra, Orior, Purist (Rs. 750-1,998)	Barrier Restore SPF 50+ (Rs. 2,300)	CeraVe, The Ordinary, COSRX
Jenpharm Maxdif, Vince (Rs. 1,348-1,500)	Radiance Lightening Cream (Rs. 2,800)	CeraVe, The Ordinary, COSRX

Claiming the ‘Premium Local Clinical’ Whitespace

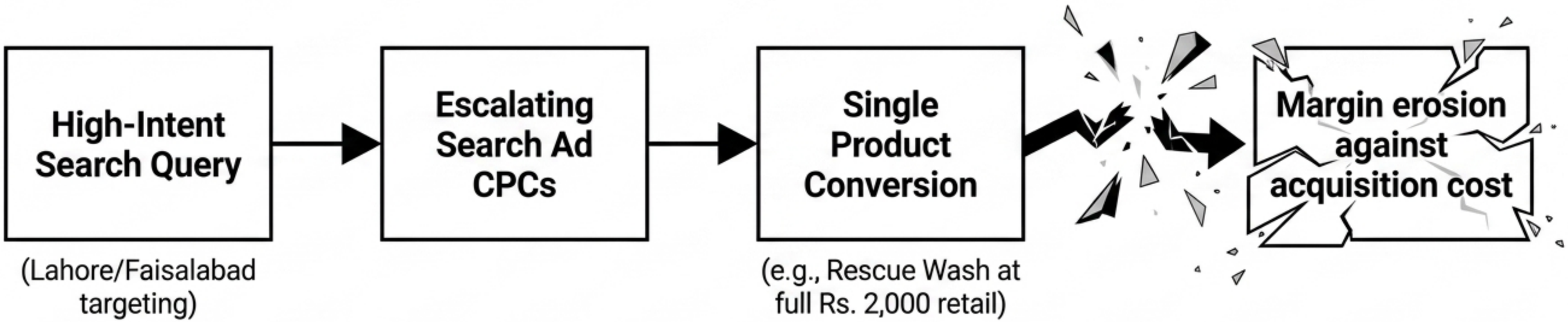
Clarte is structurally more expensive than most Pakistani local brands, yet distinctly cheaper than imported CeraVe, COSRX, or The Ordinary.



Premium local clinical skincare at imported-quality but reachable prices.

Implication: Pricing must defend the premium perception against local competitors while aggressively removing the final friction points that prevent trial versus imported giants.

The Unit Economics of Search Acquisition Necessitate a Pivot



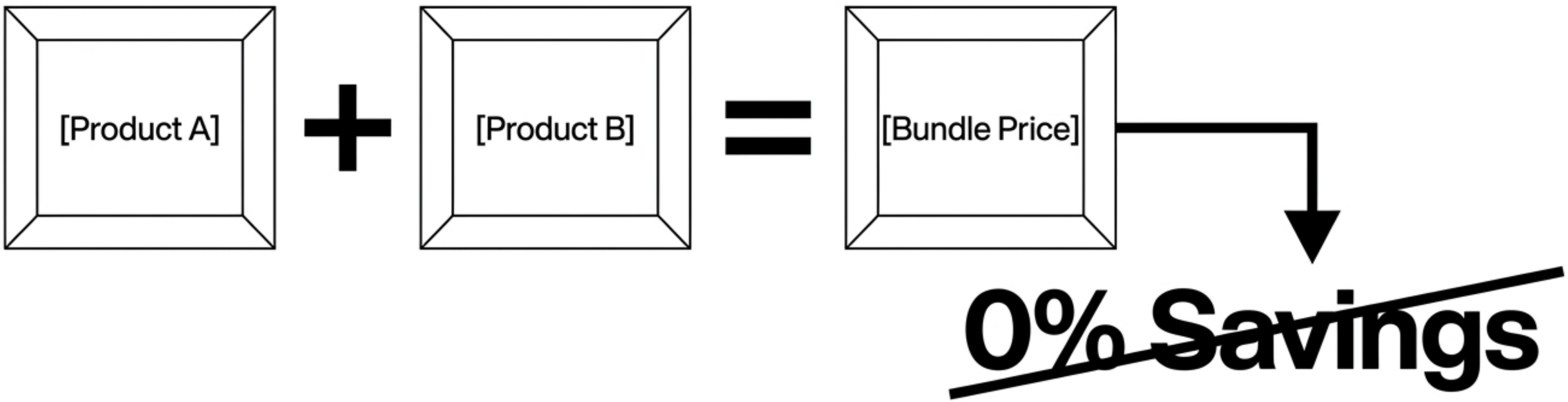
Strategic Conclusion: Single-product economics at full retail price are hostile to scaling Search Ads. **We must pivot immediately** to introductory single pricing and high-AOV strategic bundles.

Ad-Facing Single Product Pricing Architecture

Clarifying Rescue Wash: Rs. 2,000	→	**Rs. 1,799-1,899**
Clarifying Acne Serum: Rs. 2,200	→	**Rs. 1,999-2,100**
Hyaluronic Acid Serum: Rs. 2,200	→	**Rs. 1,899-2,050**
Barrier Restore SPF 50+: Rs. 2,300	→	**Rs. 1,999-2,100**
Retinol Serum: Rs. 2,300	→	**Rs. 2,099-2,250**
Vitamin CE Ferrulic Serum: Rs. 2,350	→	**Rs. 2,199-2,350**
Radiance Lightening Cream: Rs. 2,800	→	**Rs. 2,399-2,499**

Note: These ranges are exclusively ad-facing introductory levers designed to overcome initial conversion friction, preserving full retail pricing for returning retention buyers.

The Hidden Conversion Killer in the Current Bundle Logic



The Flaw

The current Clarity Daily Bundle and Clarity Intensive Bundle equal the exact sum of their individual constituent products.

The Behavioral Reality

Modern search buyers invariably calculate the 'compare at' math before upgrading to a higher AOV cart.

The Impact

When the bundle offers zero built-in savings, the psychological incentive to upgrade is completely nullified, depressing overall Average Order Value.

Three Levers to Engineer a Legitimate 8-12% Value Add

To drive the required Average Order Value on Search Ads, bundles must trigger a psychological win. Clarte must implement **ONE of the following structural levers per bundle:**

Lever 1 : Direct Price Discount

A hard-coded 8-12% price reduction compared to the sum of individual items.

Lever 2: Logistical Value

Incorporating free nationwide delivery explicitly tied to the bundle purchase.

Lever 3: Product Value

Injecting hard product value via a free mini size or a free cleanser sample.

The Optimized Ad-Facing Bundle Tiers

Tier 1: Radiance Ritual Bundle
(The Hero Offer)

Pricing: Keep exactly at Rs. 5,000.

Role: Deploy as the primary high-AOV acquisition engine.

Tier 2: Clarity Daily Bundle

Pricing Shift: Reprice to Rs. 5,799 - 5,999.

Role: Mid-tier upgrade.

Tier 3: Intensive Bundles

Pricing Shift: Introduce introductory pricing at Rs. 7,999 - 8,499.

Role: Maximum AOV capture for high-intent searchers.

Rule: All revised tiers must mathematically reflect the 8-12% perceived value-add architecture.

Immedite Execution Directives

1. Positioning Alignment

Audit and update all ad copy to explicitly reflect the "Imported Quality, Reachable Price" mandate.

2. Single Product Repricing

Deploy the Rs. 1,799 - Rs. 2,499 introductory pricing ranges across all active single-product Search campaigns.

3. Bundle Math Correction

Inject a definitive 8-12% perceived value (via direct discount or free product/shipping) into the Daily and Intensive bundles.

4. Capital Allocation

Push the Rs. 5,000 Radiance Ritual as the dominant hero offer to stabilize acquisition economics.